



IMPORTANCE AND PRIORITY

The next step is to prioritize the goals. While listing down financial goals, we will list down a few that are the most important and absolutely 'must be met' as well as others that are 'good to meet' and we would like it if they are met. But the hard truth is, with limited resources, we must first allocate the resources to the most important ones and then use the rest to meet goals that are relatively low on priority.

This step will require us to judge the importance of each goal using a rating system in the range of 1 to 5. This is a very subjective exercise. Importance of one goal can be the same as another as well. So, two financial goals can both have a rating of 4.5.

There are no right or wrong answers to this. Note that the priority of goals keeps on changing with time.

For example, in the given case, if Aisha is unable to meet all goals, she will take away resources from her family vacation and invest it in the high priority items. We need to have this done for all our goals and we will be done with setting up our financial goals. We have identified them, quantified them, judged their flexibility and also their importance.